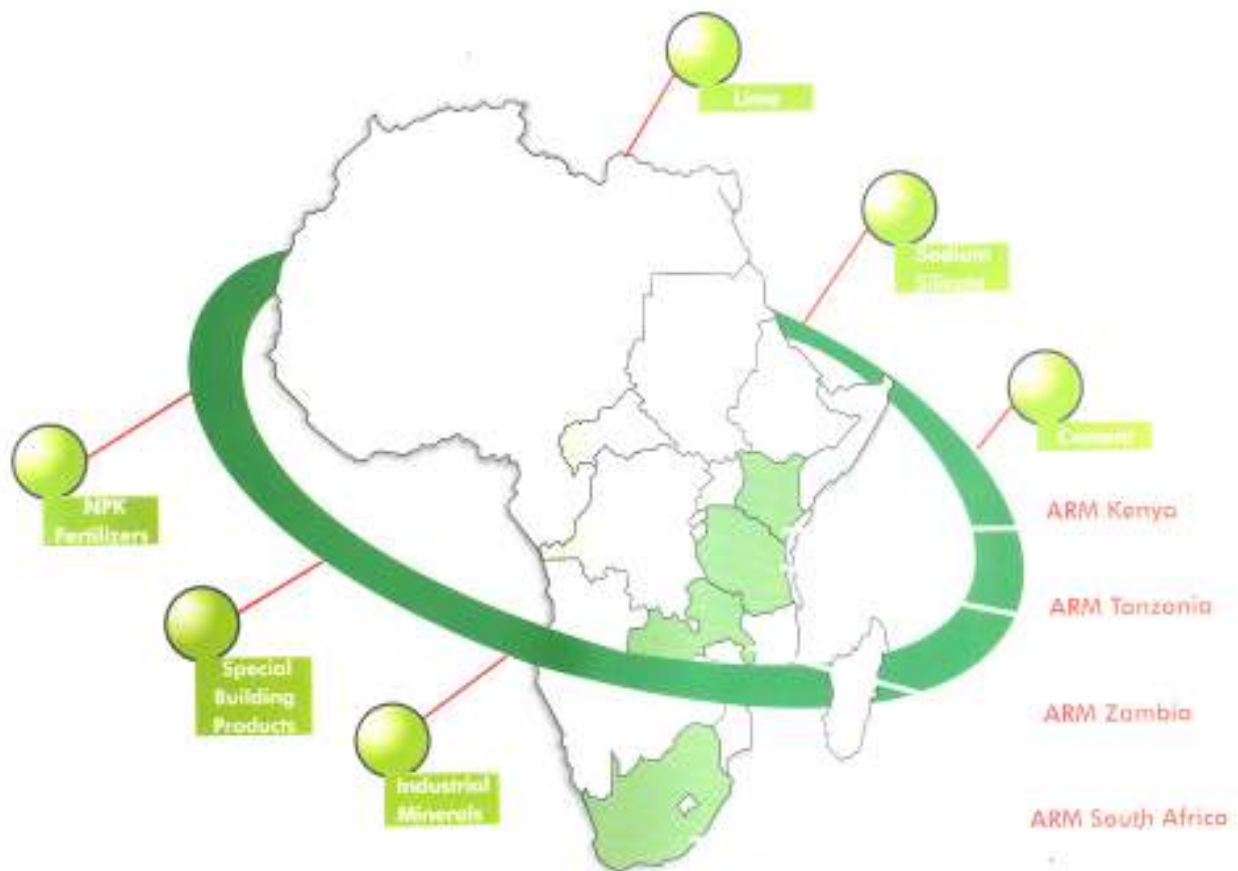


ARM

ATHI RIVER MINING LIMITED



Annual Report and Financial Statements

2004

CORPORATE INFORMATION

Directors

Mr B Rogers	—	Chairman
Mr H J Paunrana	—	Vice-Chairman
Mr P H Paunrana	—	Managing Director
Mr S L Bhatia*	—	Deputy Managing Director
Mr W Murungi		
Mr P J Rune		
Mr T Mbathi		
Dr M Gondwe**		
Bamburi Cement Limited		

* Indian

** Zambian

Audit committee

Mr T Mbathi	—	Chairman
Mr W Murungi		
Mr B Rogers		

Nomination & Remuneration Committee

Mr B Rogers	—	Chairman
Mr T Mbathi		
Mr W Murungi		

Secretary

Mr R R Vora
Marakwet House
P O Box 48405
00100 GPO Nairobi

Registered Office

L R 209/74/7/2, Chiromo Road
Westlands
P O Box 41908
00100 GPO Nairobi

Auditors

Deloitte & Touche
"Kirungii", Ring Road, Westlands
P O Box 40092
00100 GPO Nairobi

Bankers

Barclays Bank of Kenya Limited
Barclays Plaza Branch
P O Box 46661
00100 GPO Nairobi

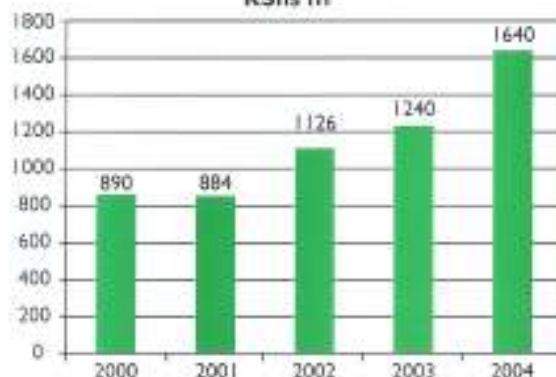
Bank of Africa Kenya Limited
P O Box 69562
00400
Nairobi

Stanbic Bank Kenya Limited
Kenyatta Avenue
P O Box 30550
00100 GPO Nairobi

CHAIRMAN'S STATEMENT

Azhi River Mining Ltd has recorded significant growth and improved performance once again, and on behalf of the Board, I have pleasure in presenting to you my report for the year ended 31st December 2004. The growth was driven by increased capacity utilization at our plants, regional diversification, consolidation of the products into business units, and more importantly strengthening of our human resources. At the outset, on behalf of the board, I wish to recognize the contribution that ARM staff and the management team have made in the growth of the company.

Group Turnover
KShs m

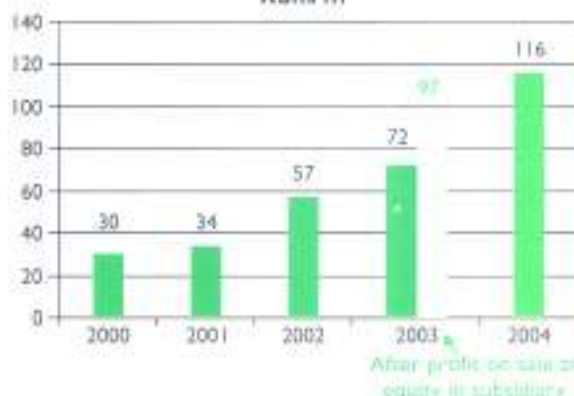


In year 2000, the Board formulated and announced a five year strategic plan for the period 2001-2005. In this report I will focus on the progress made during the first four years of this five year plan which will end this year. I shall also present the Board's strategic vision for the second five year plan covering the period 2006-2010.

2004 RESULTS

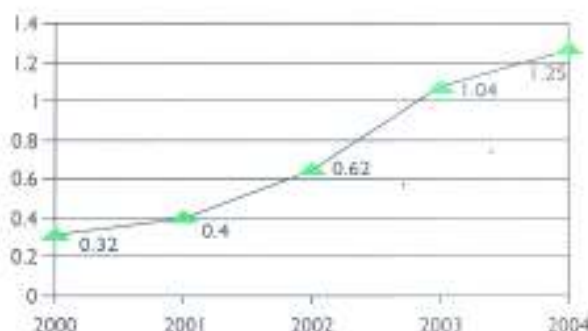
ARM commenced operations in Tanzania in January 2004 and South Africa in September 2004. Consolidated financial statements presented include ARM (T) Ltd and ARMSA (Pty) Ltd. Turnover on a consolidated grew by 32% to KSh.1.64 billion as compared to KShs. 1.24 billion in 2003, the increase being driven by growth across all the company's business units and subsidiaries. Profit after tax grew by 62% from KShs 72 million (2003) to KShs 116 million. In year 2003, the company recorded an extraordinary profit of KShs 25 million from the sale of equity in its Tanzanian operations.

Profit after Tax
KShs m



After including this, the earnings per share improved from KShs 1.04 last year to KShs 1.25 in 2004, a growth of 20%. Revenues from exports and subsidiaries grew by 40% from KShs 348 million (2003) to KShs 486 million in 2004. ARM (T) Ltd recorded a full twelve months of operations, however the plant could not be operated at full capacity due to unstable power supply and severe furnace oil shortages in Tanzania. Despite the initial difficulties the company was profitable. The power and furnace oil supply has since stabilized and the company hopes to record a substantial improvement in its performance in Tanzania in 2005.

Earnings Per Share
Kshs



The Group and Company balance sheet continued to strengthen. Net Indebtedness on consolidation stood at KShs 367 million, an increase in borrowings of KShs 178 million over 2003, due to investments in South Africa and the ongoing expansion of cement clinker plant at Kaloleni. Cash generated from operations increased by 68% to KShs 248 million, net worth of the Group improved to KShs 984 million

CHAIRMAN'S STATEMENT *continued*

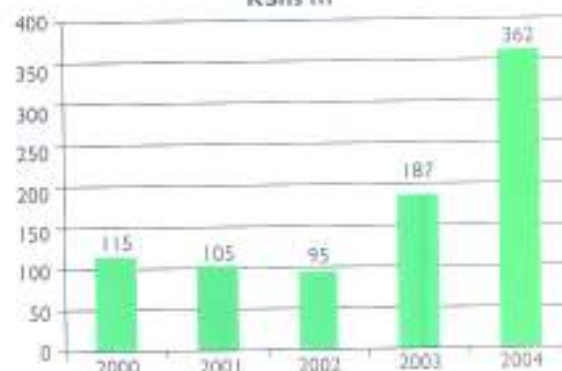
and the total assets base of the Group crossed KShs 2.0 billion.

Total Assets
KShs m



in the last four years from KShs 135 million to KShs 279 million. The net worth of the Group has increased and is close to KShs 1 billion in 2004.

Consolidated Net Debt
KShs m



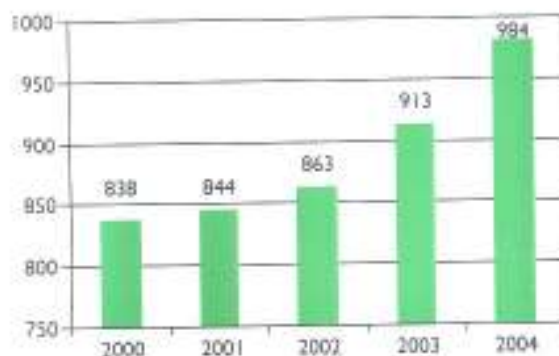
PERFORMANCE REVIEW 2001-2004

The business strategy adopted by the Company four years ago is continuing to yield positive results. Group turnover has nearly doubled from KShs 890 million in year 2000 to KShs 1640 million in 2004. Profit after tax has increased four times from KShs 30 million in 2000 to KShs 116 million in 2004. Consequently the EPS has also increased four times from KShs 0.32 in 2000 to KShs 1.25 in 2004.

In the year 2000 the Company performance was very closely linked to the economic situation in Kenya. The focus on exports and the strategy of regional diversification has reduced this risk. In 2000 exports contributed KShs 80 million to revenue.

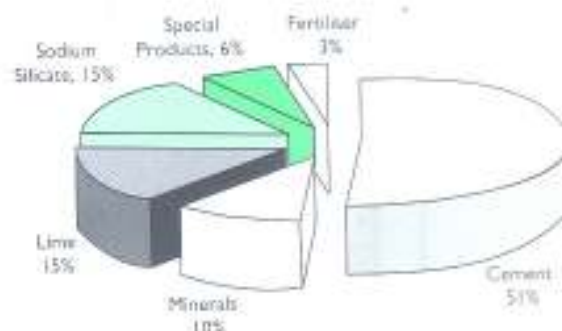
Four years later the Company's revenue from export markets and subsidiaries has grown to KShs 486 million. Cement contributed 67% of the Company's turnover in 2000, whereas other products contributed only 33%. The Company's investment into consolidating minerals, sodium silicate and lime as focused business units, has yielded strong growth, and in 2004 contributed 49% of the Company's turnover. The product portfolio and geographical spread are more evenly balanced going forward.

Net Worth
KShs m



The Group Balance Sheet has also significantly strengthened during this period. The total assets have increased by 60% from KShs 1,271 million in year 2000 to over KShs 2 billion in 2004. The Cash flow generated from operations has doubled

Divisional Turnover 2004



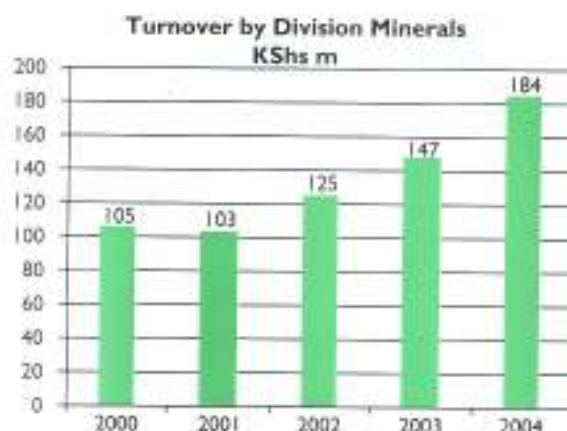
CHAIRMAN'S STATEMENT *continued*

Also, as a result of continuing investments in human resources and technology, we have achieved international benchmarks in both Quality and Cost base for the manufacture of Sodium Silicate and Lime and both the Company's plants are today ISO9001:2000 Certified for Quality. We are also ISO Certified for quality cement manufacturing, and our cost base will become internationally competitive once the ongoing clinker plant expansion is completed.

SEGMENTAL PERFORMANCE

Industrial Minerals

In 2004, industrial minerals increased by 25% over 2003 to KShs 184 million. The growth was driven by investment in increasing plant capacity, rationalizing production capacity and product mix, upgrading technology and increasing plant efficiency. Investments made in this business improved turnover from KShs. 105 million in year 2000 to KShs. 184 million this year reflecting a growth of 75% over the last four years. The company is a market leader in the industrial mineral business in the East African region.

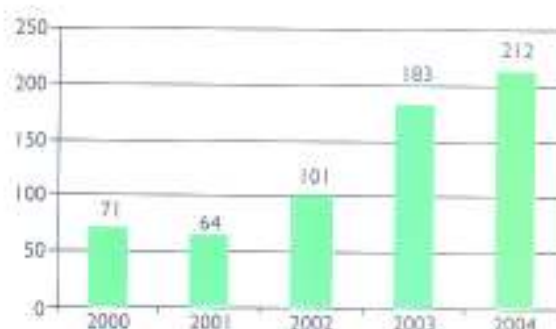


Sodium Silicate

Sodium silicate turnover increased by 16% over the previous year to KShs 212 million. The growth was due to increased capacity utilization. ARM has achieved international cost and quality benchmarks in this business which has significantly helped in developing new markets. The turnover has increased three times from KShs. 71 million in year 2000 to

KShs. 212 million this year. ARM continues to be a market leader in this business and is also the only ISO 9001:2000 certified company for manufacture of Sodium Silicate in the Eastern Africa.

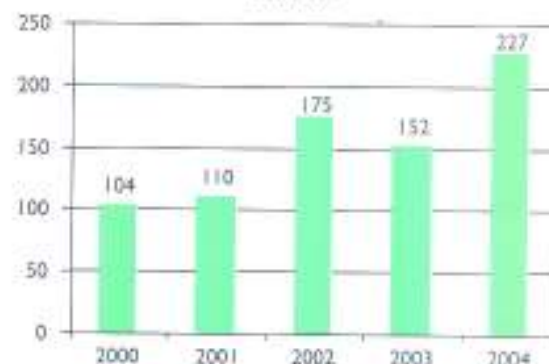
Turnover by Division Silicate KShs m



Lime

Turnover in the lime division increased by 50% over 2003 to KShs 227 million. The growth was driven by the new capacity installed in Tanzania. The investment in Tanzania in a state of the art technology enabled ARM to manufacture the highest quality lime in the region, as a result of which ARM continues to be the regional market leader. The Lime business has grown by 220% from KShs. 104 million in year 2000 to KShs. 227 million in 2004. The Company's Lime plant in Kaloleni is also ISO 9001:2000 Certified for Quality.

Turnover by Division Lime KShs m

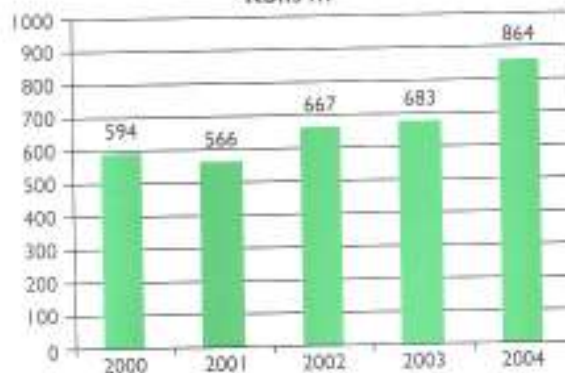


CHAIRMAN'S STATEMENT *continued*

Cement

The Cement business has grown from Kshs. 594 million in year 2000 to Kshs. 864 million in 2004. The growth was driven by investment in brand building which yielded higher price realizations and efficient logistics management. The Company continues to maintain its market position, the growth being in line with the overall growth in the cement consumption in the country. In this business ARM continues to be an important manufacturer in the market with a country wide distribution network and a strong brand equity.

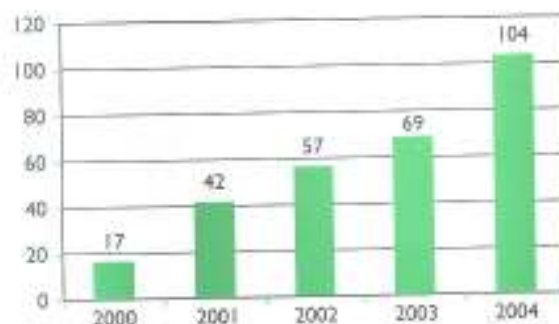
Turnover by Division Cement
KShs m



Special Building Products

ARM is the only manufacturer of cement based wall finishes and cement based tile adhesives and grouts in the region. The turnover in this business crossed KShs. 100 million this year and is expected to grow further in future with a regional marketing and distribution network. Turnover has grown from Kshs. 17 million in year 2000 to Kshs. 104 million in 2004.

Turnover by Division Special Products
KShs m



Fertilizers

Over the past 4 years the Company has been carrying out scientific research in soil fertility in collaboration with University of Nairobi, Egerton University, Kenya Agricultural Research Institute, Farm Input Promotions Africa Limited, Kenya Maize Development Programme and other agricultural institutions. The research which included field trials on 2,500 demonstration farmer plots, has established the efficacy of the Company's **MAYUNO** brand fertilizers in terms of both higher yields and lower input costs in the majority of crops and soil conditions. The product was commercially introduced in the last quarter of 2004 and the market response was positive. Turnover was Kshs. 48 million in 2004 and is expected to grow rapidly in the future years.

2004 CREDIT RATING

ARM is credit rated every year by Global Credit Rating South Africa which is credit rating institution accredited by the Capital Markets Authority, and I am pleased to report that the Company's rating has further improved this year to Short Term **A1** indicating high certainty of timely payments, excellent liquidity factors supported by good fundamental protection factors and with minor risk factors. Long Term **A** stands for a good investment grade, indicating high credit quality, good protection but with small risk factors that are variable due to economic cycles.

	2001	2002	2003	2004
SHORT TERM	A3	A2	A1-	A1
LONG TERM	BBB	A-	A	A

YEAR 2005 PROSPECTS

The company is optimistic about the year 2005 prospects and confident of increasing the contribution from its subsidiaries this year.

CHAIRMAN'S STATEMENT *continued*

The Fertilizer Division will have a full year of operation. Sodium Silicate capacity will have doubled by mid year and a new plant in the minerals division will also add to capacity by 20%, all of which should contribute to the overall growth of the Group.

ARM (T) Limited and ARMSA (Pty) Ltd will also see improved capacity utilization and a full year of operations. Based on these factors the company is confident of further improved performance in 2005.

However, the net indebtedness of the company is set to increase due to investments in the cement clinker plant at Kaloleni, and the company feels that the overall economic climate in Kenya will continue to be a significant determinant of the company's future performance.

LISTED BOND ISSUE

The company proposes to raise Kshs. 600 million through the issue of a corporate bond listed on the Nairobi Stock Exchange. The purpose is to replace short term borrowings with a long term source of finance, to meet its long term capital requirement to finance the cement clinker plant expansion. The investment in the clinker plant will reduce existing clinker cost by KShs 100 million per year whilst also doubling the capacity. The increased capacity would also allow ARM to maintain its market share in a growing cement market. The bond issue is covered by sound debt and interest cover ratios. The proposal has to receive the approval of the regulatory authorities in Kenya.

STRATEGIC VISION 2006-2010

The Board's vision for the period 2006-2010 is to enable the Company to maintain growth rates in turnover and profitability in each of the established divisions. We see ARM as a regional African Company with its core strength in manufacturing and processing of mineral raw materials. Through investment in technology we expect to achieve international benchmarks in cost and quality in every business unit and through continuous investment in our human capital, we expect to create an organizational infrastructure that can maintain the growth rates.

ARM envisions being a major manufacturer of Lime in Africa and plans to achieve this objective by doubling capacity in Tanzania and through acquisitions in other countries.

In Sodium Silicate, the Company plans to expand its activities into North Africa and the Middle East, whilst in the minerals division market leadership in the region will be maintained by increasing capacity, introducing new manufacturing technology and improving plant efficiencies.

The Company plans to grow markets in Kenya and the region for the products already introduced in the Special Products Division, and continue to introduce new products with the objective of reducing construction costs in the region.

In the Cement division the company will achieve competitive manufacturing cost structure with the planned clinker plant expansion. The increased capacity will also ensure that the company is in a position to maintain its market share in a growing market.

Through a regional marketing and distribution network the company intends to become a farmer focused, fertilizer manufacturer using local raw materials. The Company plans to contribute to the regions food security by providing crop specific, soil specific fertilizer which would increase crop yields substantially.

The Board is fully committed to this 5 year Vision which is founded on sound management and good corporate governance. However, every vision and the best of action plans are vulnerable to extraneous and unpredictable socio-economic factors. Whilst we will strive to mitigate such factors, I am confident that, as in the past, we will continue to record continuous growth going forward.

DIVIDEND

The Company paid an interim dividend of Kshs. 0.40 per share in respect of 2004. The Directors do not recommend a final dividend in view of the major capital expansion at Kaloleni. However, the Company expects to continue its dividend payment policy in future years.

Brian Rogers
Chairman



"Our business is to enhance our customer's competitiveness. We do this by providing service and products that are benchmarked to international quality standards and by using industry best practices in our manufacturing activities."

Pradeep H. Paurana
Managing Director
Athi River Mining Ltd



STATEMENT OF CORPORATE GOVERNANCE

The Board of Directors at Athi River Mining Limited are committed to the principles of Good Corporate Governance and promoting high levels of self-regulation so as to benchmark the level of Governance with the international standards and best management practices in the industry.

The Board recognizes the role of good Corporate Governance in corporate performance, maximization of shareholder value and protection of investors' rights. The Board therefore will continue its Corporate Governance policy to ensure corporate growth and to achieve the long-term objectives of the shareholders. The Board has formally adopted 18 guiding principles of Corporate Governance that further define the role of the Board at ARM. These principles are listed on page 11.

The Board confirms that the standards of Corporate Governance set out in Capital Markets Act Corporate Governance Guideline have been complied with throughout the year ended 31st December 2004, and has made additional disclosures in the accounts for 2004 in recognition of this commitment.

The Board of Directors

The Board is comprised of Six non-executive members. The non-executive members are independent of management and are free of any relationships which could materially interfere with the exercise of their independent judgement. Six members of the board retire by rotation every year, and may offer themselves for re-election, if eligible in terms of the Company's Article of Association.

Board Meetings

The board meets a minimum of once a quarter, but also meets as required to consider specific issues.

Board Committees

The board delegates some of its responsibilities to Board Committees. The committees meet on a regular basis and make recommendations to the Board on matters delegated to them.

Audit Committees

The committee was appointed in 2001 and comprises three non-executive directors, with the attendance of senior management as required. Their terms of reference include a review of the Company's half yearly and annual financial statements before submission to the Board, internal controls, the appointment of external auditors and to fix their remuneration, and the scope and nature of the external audit.

Other committees in place are the Nomination and Remuneration Committees.

Directors Benefits and Loans

The total amount of Directors remuneration for the year is disclosed on page 26. There were no loans to the directors during the year.

STATEMENT OF CORPORATE GOVERNANCE *continued*

ARM CORPORATE GOVERNANCE GUIDING PRINCIPLES

Principle One - Leadership

The board will exercise leadership, enterprise integrity and judgment in directing the company to achieve continuing prosperity and to act in the best interest of the company based on transparency, accountability and responsibility.

Principle Two - Strategy & Value

The board will determine the company's purpose and values, determine the strategy to achieve its purpose and implement its values in order to ensure that the company survives and practices are in place to protect company's assets.

Principle Three - Company's Performance

The board will monitor and evaluate the implementation of strategies, policies and business plans and the operational results on regular basis.

Principle Four - Compliance

The board will ensure that the company complies with all relevant laws, regulations and codes of best business practice.

Principle Five - Communication

The board will ensure that the company communicates with shareholders and other stakeholders effectively.

Principle Six - Accountability to shareholders

The board will serve the legitimate interests of all the shareholders of the company and account to them fully. The Board will ensure equality in its responsibility to the shareholders and will act in the best interest of the company rather than in the interest of any interest group/shareholder.

Principle Seven - Relationship with stakeholders

The board will identify the company's internal and external stakeholders and agree on policies determining how the company will relate to them.

Principle Eight - Board Appointments

The board will ensure that through a managed and effective process board appointments are made that provide a mix of proficient directors each of whom are able to add value and to bring independent judgement to bear on the decision making process.

Principle Nine - Balance of Power

The board will ensure that no one person or a block of persons will have unlimited power and that there is an appropriate balance of power and authority on the board which will be reflected by separating the roles of the Chief Executive officer and Chairman, and by having a balance between executive and non executive directors.

Principle Ten - Internal Procedures

The board will regularly review process and procedures to ensure the effectiveness of internal systems and control, so that its decision making capability and the accuracy of its reporting and financial results are maintained at levels at all times.

STATEMENT OF CORPORATE GOVERNANCE *continued*

Principle Eleven - Management Appointments and Development

The board will appoint the members as well as participate in the appointment of the senior management, to ensure the motivation and protection of intellectual capital of the company, and to ensure that there is adequate training for management and employees, and that there is a succession plan for senior management.

Principle Twelve - Board Performance Assessment

The board will regularly and periodically assesses its performance and effectiveness as a whole in directing the company towards achieving its objectives as well as the performance of all senior management team.

Principle Thirteen - Technology

The board will ensure that the technology process and systems used are adequate to properly run the business; achieve international benchmarks in quality and cost so that the company can be a meaningful competitor in the market.

Principle fourteen - Risk Management

The board must identify key risk areas and key performance indicators of the business enterprise and monitor the factors on regular basis.

Principle fifteen - Annual Review of future solvency

The board must ensure annually that the company will continue as a going concern for its next fiscal year.

Principle Sixteen - Shareholders

The board is committed to the protection of the rights of the shareholders and ensures equitable treatment of all its shareholders.

Principle seventeen - Stakeholders

The board recognizes the rights of all stakeholders as established in law and will encourage active co-operation between company and the stakeholders in creating wealth, jobs and sustain ability of a financially sound company.

Principle eighteen - Disclosure and transparency

The directors will ensure that timely and accurate disclosures are made on all material matters relating to the financial situation, performance, ownership and governance of the company.

29th March 2005

REPORT OF THE DIRECTORS

The directors present their report together with the group audited financial statements for the year ended 31 December 2004.

Activities

The principal activities of the group are the manufacture and sale of cement, mining and processing of industrial minerals and chemicals, and trading in other building products.

Results

	Sh'000
Consolidated profit before taxation	172,368
Taxation expense	(55,650)
Profit before minority interest	116,718
Minority interest	(720)
Net profit for the year	115,998

Dividends

An interim dividend of Sh 0.40 per share (2003 - Sh 0.40 per share) was paid by the directors on the paid up share capital on 30 May 2004. The directors do not propose payment of a final dividend (2003 - Sh 0.10 per share). The total dividends per share in respect of the year will, therefore, be Sh 0.40 (2003 - Sh 0.50).

Directors

The present directors are shown on page 3.

Auditors

Deloitte & Touche, having expressed their willingness, continue in office in accordance with section 159 (2) of the Companies Act.

By order of the Board

R R Vora
Secretary
Nairobi

29th March 2005

STATEMENT OF DIRECTORS' RESPONSIBILITY

The Companies Act requires the directors to prepare financial statements for each financial year which give a true and fair view of the state of affairs of the group and the company as at the end of the financial year and of the operating results of the group for that year. It also requires the directors to ensure the group and the company keep proper accounting records which disclose with reasonable accuracy at any time the financial position of the group and the company. They are also responsible for safeguarding the assets of the group.

The directors accept responsibility for the annual financial statements, which have been prepared using appropriate accounting policies supported by reasonable and prudent judgements and estimates, in conformity with International Financial Reporting Standards and in the manner required by the Companies Act. The directors are of the opinion that the financial statements give a true and fair view of the state of the financial affairs of the group and the company and of its operating results. The directors further accept responsibility for the maintenance of accounting records which may be relied upon in the preparation of financial statements, as well as adequate systems of internal financial control.

Nothing has come to the attention of the directors to indicate that the company and its subsidiaries will not remain going concerns for at least the next twelve months from the date of this statement.

Brian Rogers
Chairman

Pradeep H. Paurana
Director

29th March 2005

Deloitte.

Deloitte & Touche
Certified Public Accountants (Kenya)
 "Kinung'u"
 Ring Road, Westlands
 P.O. Box 40092 - GPO 00100
 Nairobi
 Kenya

Tel: + (254 - 20) 444 1344/55-12
 Fax: + (254 - 20) 444 8966
 Dropping Zone No. 92
 Email: admin@deloitte.co.ke

REPORT OF THE AUDITORS

We have audited the financial statements on pages 16 to 37 for the year ended 31 December 2004 and have obtained all the information and explanations which, to the best of our knowledge and belief, were necessary for the purposes of our audit.

Respective responsibilities of directors and auditors

As described on page 14, the directors are responsible for the preparation of the financial statements. Our responsibility is to express an opinion on those financial statements based on our audit.

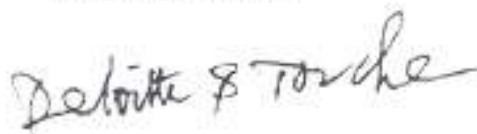
Basis of opinion

We conducted our audit in accordance with International Standards on Auditing. Those standards require that we plan and perform the audit to obtain reasonable assurance as to whether the financial statements are free of material misstatement. An audit includes examining, on a test basis, evidence supporting the amounts and disclosures in the financial statements; assessing the accounting principles used and significant estimates made by the directors; and evaluating the overall financial statement presentation. We believe that our audit provides a reasonable basis for our opinion.

Opinion

In our opinion:

- (a) Proper books of account have been kept by the company and the company's balance sheet is in agreement therewith.
- (b) The financial statements give a true and fair view of the state of affairs of the company and the group at 31 December 2004 and of the profit and cash flows of the group for the year ended on that date, in accordance with International Financial Reporting Standards and comply with the Kenyan Companies Act.



Nairobi

29th March 2005

Audit, Tax, Consulting, Financial Advisory,

A member firm of
Deloitte Touche Tohmatsu

Partners: D.M. Ndonge, H. Gadhoka*, D.C. Hodges, J.M. Kiaria, M.M. Kibui, S.O. Onyango, J.W. Wangari
 * British

CONSOLIDATED INCOME STATEMENT

for the year ended 31 December 2004

		2004	2003
	Note	Sh'000	Sh'000
TURNOVER		1,639,508	1,240,388
COST OF SALES		(1,094,493)	(867,659)
GROSS PROFIT		545,015	372,729
OTHER OPERATING INCOME		507	288
DISTRIBUTION COSTS		(161,408)	(115,164)
ADMINISTRATIVE EXPENSES		(197,528)	(140,252)
OTHER OPERATING EXPENSES		(44)	(84)
OPERATING PROFIT	3	186,542	117,517
PROFIT ON DISPOSAL OF EQUITY IN SUBSIDIARY		-	25,298
FINANCE COSTS (NET)	4	(14,174)	(11,618)
PROFIT BEFORE TAXATION		172,368	131,197
TAXATION	6	(55,650)	(34,091)
PROFIT BEFORE MINORITY INTEREST		116,718	97,106
MINORITY INTEREST	17	(720)	-
NET PROFIT FOR THE YEAR	7	115,998	97,106
EARNINGS PER SHARE – Basic/diluted	8	Sh 1.25	Sh 1.04

CONSOLIDATED BALANCE SHEET

as at 31 December 2004

		2004	2003
	Note	Sh'000	Sh'000
ASSETS			
Non current assets			
Property, plant and equipment	9	1,333,281	1,073,489
Operating lease prepayments	10	9,348	2,416
Deferred expenditure	11	-	3,163
		<u>1,342,629</u>	<u>1,079,068</u>
Current assets			
Inventories	13	323,469	150,931
Trade and other receivables	14	348,221	296,447
Cash and bank balances		<u>11,672</u>	<u>48,957</u>
		683,362	496,335
Total assets		<u>2,025,991</u>	<u>1,575,403</u>
EQUITY AND LIABILITIES			
Capital and reserves			
Share capital	16	465,000	465,000
Share premium		241,477	241,477
Revaluation surplus		42,251	43,983
Revenue reserve		237,460	153,648
Proposed dividends		-	5,300
		<u>986,188</u>	<u>913,408</u>
Minority interest	17	<u>53,039</u>	<u>50,702</u>
Non current liabilities			
Borrowings	18	- 158,405	145,843
Deferred income taxes	19	160,375	158,039
Finance leases	20	<u>- 13,367</u>	<u>5,833</u>
		332,147	309,715
Current liabilities			
Trade and other payables	21	422,887	201,243
Borrowings	18	- 201,460	84,006
Current tax payable		23,914	- 12,941
Finance leases	20	- 5,785	2,317
Unclaimed dividends		<u>571</u>	<u>1,071</u>
		654,617	301,578
Total equity and liabilities		<u>2,025,991</u>	<u>1,575,403</u>

The financial statements on pages 16 to 37 were approved by the board of directors on 29th March 2005 and were signed on its behalf by:

Brian Rogers
Chairman

Pradeep H. Paurana
Director

COMPANY BALANCE SHEET

as at 31 December 2004

	Note	2004 Sh'000	2003 Sh'000
ASSETS			
Non current assets			
Property, plant and equipment	9	1,068,122	843,848
Operating lease prepayments	10	2,348	2,416
Deferred expenditure	11	-	3,163
Investment in subsidiaries	12	143,212	102,939
		1,213,682	952,366
Current assets			
Inventories	13	275,799	150,931
Trade and other receivables	14	279,101	296,447
Due from related parties	15	56,981	-
Cash and bank balances		11,152	48,957
		623,033	496,335
Total assets		1,836,715	1,448,701
EQUITY AND LIABILITIES			
Capital and reserves			
Share capital	16	465,000	465,000
Share premium		241,477	241,477
Revaluation surplus		42,251	43,983
Revenue reserve		235,974	153,648
Proposed dividends		-	9,300
		984,702	913,408
Non current liabilities			
Borrowings	18	81,031	69,843
Deferred income taxes	19	160,079	158,039
Finance leases	20	10,257	5,833
		251,367	233,715
Current liabilities			
Trade and other payables	21	375,474	201,243
Borrowings	18	194,902	84,006
Current tax payable		23,914	12,941
Finance leases	20	5,785	2,317
Unclaimed dividends		571	1,071
		600,646	301,578
Total equity and liabilities		1,836,715	1,448,701

The financial statements on pages 16 to 37 were approved by the board of directors on 29th March 2005 and were signed on its behalf by:

Brian Rogers
Chairman

Pradeep H. Paurana
Director

CONSOLIDATED STATEMENT OF CHANGES IN EQUITY

for the year ended 31 December 2004

	Share capital Sh'000	Share premium Sh'000	Revaluation surplus Sh'000	Revenue reserve Sh'000	Proposed dividends Sh'000	Total Sh'000
At 1 January 2003	465,000	241,477	100,599	46,426	9,300	861,802
Transfer of excess dep.						
- prior years net of attributable deferred tax	-	-	(54,884)	54,884	-	-
- current year	-	-	(2,474)	2,474	-	-
Deferred tax on excess depreciation - current year	-	-	742	(742)	-	-
Net profit for the year	-	-	-	97,106	-	97,106
Dividends:						
- declared 2002	-	-	-	-	(9,300)	(9,300)
- declared 2003	-	-	-	(37,200)	-	(37,200)
- proposed 2003	-	-	-	(9,300)	9,300	-
At 31 December 2003	465,000	241,477	43,983	153,648	9,300	913,408
At 1 January 2004	465,000	241,477	43,983	153,648	9,300	913,408
Exchange adjustment	-	-	-	3,282	-	3,282
Transfer of excess depreciation	-	-	(2,474)	2,474	-	-
Deferred tax on excess depreciation	-	-	742	(742)	-	-
Net profit for the year	-	-	-	115,998	-	115,998
Dividends:						
- declared 2003	-	-	-	-	(9,300)	(9,300)
- declared 2004	-	-	-	(37,200)	-	(37,200)
At 31 December 2004	465,000	241,477	42,251	237,460	-	986,188

The revaluation surplus relates to surpluses arising from the revaluation of property, plant and equipment.

COMPANY STATEMENT OF CHANGES IN EQUITY

for the year ended 31 December 2004

	Share capital Sh'000	Share premium Sh'000	Revaluation surplus Sh'000	Revenue reserve Sh'000	Proposed dividends Sh'000	Total Sh'000
At 1 January 2003	465,000	241,477	100,599	46,426	9,300	862,802
Transfer of excess dep. - prior years net of attributable deferred tax	-	-	(54,884)	54,884	-	-
- current year	-	-	(2,474)	2,474	-	-
Deferred tax on excess depreciation – current year	-	-	742	(742)	-	-
Net profit for the year	-	-	-	97,106	-	97,106
Dividends:						
- declared 2002	-	-	-	-	(9,300)	(9,300)
- declared 2003	-	-	-	(37,200)	-	(37,200)
- proposed 2003	-	-	-	(9,300)	9,300	-
At 31 December 2003	<u>465,000</u>	<u>241,477</u>	<u>43,983</u>	<u>153,648</u>	<u>9,300</u>	<u>913,408</u>
At 1 January 2004	465,000	241,477	43,983	153,648	9,300	913,408
Transfer of excess depreciation	-	-	(2,474)	2,474	-	-
Deferred tax on excess depreciation	-	-	742	(742)	-	-
Net profit for the year	-	-	-	117,794	-	117,794
Dividends:						
- declared 2003	-	-	-	-	(9,300)	(9,300)
- declared 2004	-	-	-	(37,200)	-	(37,200)
At 31 December 2004	<u>465,000</u>	<u>241,477</u>	<u>42,251</u>	<u>235,974</u>	<u>-</u>	<u>984,702</u>

The revaluation surplus relates to surpluses arising from the revaluation of property, plant and equipment.

CONSOLIDATED CASH FLOW STATEMENT

for the year ended 31 December 2004

		2004	2003
	Note	Sh'000	Sh'000
Operating activities			
Cash generated from operations	22(a)	274,117	148,012
Interest paid		(16,249)	(11,635)
Corporation tax paid		(42,341)	(36,386)
Net cash generated from operating activities		215,527	99,991
Investing activities			
Additions to property, plant and equipment		(326,702)	(215,634)
Proceeds from disposal of property, plant and equipment		1,290	4,799
Proceeds from disposal of equity in subsidiary		-	76,000
Additions to leasehold land		(7,000)	-
Net cash used in investing activities		(332,412)	(134,835)
Financing activities			
Finance lease instalment payments		(3,748)	(4,120)
Loans received	22(c)	85,394	211,411
Repayment of amounts borrowed	22(c)	(50,935)	(103,267)
Dividends paid		(47,000)	(46,500)
Net cash used in financing activities		(16,289)	57,524
(Decrease)/increase in cash and cash equivalents		(133,174)	22,680
Cash and cash equivalents 1 January		4,752	(17,928)
Cash and cash equivalents 31 December	22(b)	<u>(128,422)</u>	<u>4,752</u>

CONSOLIDATED CASH FLOW STATEMENT

for the year ended 31 December 2004

		2004	2003
	Note	Sh'000	Sh'000
Operating activities			
Cash generated from operations	22(a)	274,117	148,012
Interest paid		(16,249)	(11,635)
Corporation tax paid		(42,341)	(36,386)
Net cash generated from operating activities		215,527	99,991
Investing activities			
Additions to property, plant and equipment		(326,702)	(215,634)
Proceeds from disposal of property, plant and equipment		1,290	4,799
Proceeds from disposal of equity in subsidiary		-	76,000
Additions to leasehold land		(7,000)	-
Net cash used in investing activities		(332,412)	(134,835)
Financing activities			
Finance lease instalment payments		(3,748)	(4,120)
Loans received	22(c)	85,394	211,411
Repayment of amounts borrowed	22(c)	(50,935)	(103,267)
Dividends paid		(47,000)	(46,500)
Net cash used in financing activities		(16,289)	57,524
(Decrease)/increase in cash and cash equivalents		(133,174)	22,680
Cash and cash equivalents 1 January		4,752	(17,928)
Cash and cash equivalents 31 December	22(b)	<u>(128,422)</u>	<u>4,752</u>

NOTES TO THE FINANCIAL STATEMENTS

for the year ended 31 December 2004

1. ACCOUNTING POLICIES

The financial statements have been prepared in accordance with International Financial Reporting Standards. The principal accounting policies adopted remain unchanged from the previous year and are set out below.

Basis of accounting

The company prepares its financial statements under the historical cost convention, modified to include the revaluation of certain property and financial instruments.

Basis of consolidation

Subsidiary undertakings, being those companies in which the Group either directly or indirectly has an interest of more than 50% of the voting rights or otherwise has power to exercise control over the operations, have been consolidated. Subsidiaries are consolidated from the date on which effective control is transferred to the Group and are no longer consolidated as from the date of disposal. All inter company balances and unrealised surpluses and deficits on transactions with the subsidiary company have been eliminated.

The consolidated financial statements incorporate the financial statements of the company and its subsidiaries, ARM (Tanzania) Limited, Mavuno Fertilizer Limited and ARMSA (Pty) Limited, all made up to 31 December.

Revenue recognition

Turnover is recognised upon delivery of goods to customers and represents sales net of sales returns and value added tax.

Taxation

Income tax expense represents the sum of the current tax payable and the deferred taxation.

Current taxation is provided on the basis of the results for the year, as shown in the financial statements, adjusted in accordance with tax legislation.

Deferred taxation is provided using the liability method for all temporary differences arising between the tax bases of assets and liabilities and their carrying values for financial reporting purposes. Currently enacted tax rates are used to determine deferred taxation.

A deferred tax asset is recognised to the extent that it is probable that future taxable profits will be available against which the unused tax credits can be utilised.

Property, plant and equipment

Property, plant and equipment are stated at cost or valuation (free hold land and buildings at open market value and other assets at depreciated replacement cost) less depreciation and any impairment losses. Increases in the carrying amounts of property, plant and equipment resulting from revaluation are credited to revaluation surplus.

Building products development costs

An intangible asset arising from development (or from the development phase of an internal project) is recognised if, and only if, the company is able to demonstrate:

- its intention to complete the intangible asset and use or sell it;
- how the intangible asset will generate probable future economic benefits;
- the availability of adequate technical, financial and other resources to complete the development and to use or sell the intangible asset; and
- its ability to measure the expenditure attributable to the intangible asset during its development reliably.

Expenditure incurred in developing new building products are deferred and written off over a period of 4 years, subject to a regular review for impairment.

NOTES TO THE FINANCIAL STATEMENTS *continued*

for the year ended 31 December 2004

1. ACCOUNTING POLICIES *(continued)*

Depreciation

No depreciation is provided on freehold land.

Depreciation is calculated to write off the cost or valuation of other property, plant and equipment in equal annual instalments over their estimated useful lives. The annual rates in use are:

Buildings	2.5%
Heavy commercial vehicles and quarrying equipment	10%
Plant, machinery and equipment	5% to 7.5%
Motor vehicles	10%
Furniture and fittings	7.5%
Computer hardware	20%

Excess depreciation, representing the additional depreciation based on revalued amounts over depreciation based on historical costs, is transferred annually from revaluation surplus to revenue reserves.

Operating lease prepayments

Payments to acquire leasehold interest in land are treated as prepaid operating lease rentals and amortised over the period of the lease.

Capital work in progress

Capital work in progress relates to property and plant under construction. Cost includes materials, direct labour and any other direct expenses incurred in respect of the project. The amounts are transferred to the appropriate property and plant categories once the project is completed and commissioned.

Inventories

Finished goods inventories are stated at the lower of cost and net realisable value. Cost comprises direct production costs, rents, royalties, labour and relevant transport costs. Work in progress comprises raw materials, direct labour, other direct costs and related production overheads.

Raw materials and other inventories are stated at the lower of purchase cost and net realisable value.

Leases

Leases are classified as finance leases whenever the terms of the lease transfers substantially all the risks and rewards of ownership to the lessee. All other leases are classified as operating leases.

Assets held under finance leases are capitalised at their fair value on the inception of the lease and depreciated over their estimated useful lives. The finance charges are allocated over the period of the lease in proportion to the capital amount outstanding.

Rental payments in respect of operating leases are charged to the income statement.

Foreign currencies

Assets and liabilities expressed in foreign currencies are translated into Kenya Shillings at the rates of exchange ruling at the balance sheet date. Transactions during the year are translated at the rates ruling at the dates of the transactions. Gains and losses on exchange are dealt with in the income statement.

NOTES TO THE FINANCIAL STATEMENTS *continued*

for the year ended 31 December 2004

1. ACCOUNTING POLICIES (continued)

Pension obligations

The group contributes to the statutory National Social Security Fund. This is a defined contribution scheme registered under the National Social Security Act. The group's obligations under the scheme are limited to specific contributions legislated from time to time and were fixed at Sh 200 per employee. The group's contributions are charged to the income statement in the year to which they relate.

Provision for liabilities and charges

Employees' entitlements to annual leave are recognised when they accrue to employees. Provision is made for the estimated liability in respect of annual leave accrued on the balance sheet date.

Segment reporting

Segmental information is based on the primary format representing two business segments, cement and minerals and chemicals.

Segment results include revenue and expenses directly attributable to a segment.

Segment assets and liabilities comprise those operating assets and liabilities that are directly attributable to the segment or can be allocated to the segment on a reasonable basis.

Capital expenditure represents the total cost incurred during the year to acquire segment assets that are expected to be used during more than one period (property, plant and equipment).

Financial instruments

Financial assets

Financial assets are recognised initially at cost using settlement date accounting. Receivables originated by the group and held to maturity investments are subsequently measured at amortised cost while financial assets held for trading and available for sale are measured at fair value. Gains or losses attributable to changes in fair value of each category of asset are recognised in the income statement in the year in which they arise. All financial assets are subject to review for impairment at the year end.

Financial liabilities

Financial liabilities are recognised initially at cost, and subsequently measured at amortised cost.

Impairment

At each balance sheet date, the group reviews the carrying amounts of its assets to determine whether there is any indication that those assets have suffered an impairment loss. If any such indication exists, the asset's recoverable amount of the asset is estimated and an impairment loss is recognized in the income statement whenever the carrying amount of the asset exceeds its recoverable amount.

NOTES TO THE FINANCIAL STATEMENTS *continued*

for the year ended 31 December 2004

2. SEGMENTAL REPORTING

(a) Primary segment information Business segments

The group is currently organised into two divisions. These divisions are the basis on which the group reports its primary segment information. The two divisions are Cement and special products and Minerals and chemicals. The table below shows the Group's revenue, expenses, segment assets, segment liabilities, capital expenditure and depreciation by the divisions.

	CEMENT AND SPECIAL PRODUCTS		MINERALS AND CHEMICALS		TOTAL	
	2004 Sh'000	2003 Sh'000	2004 Sh'000	2003 Sh'000	2004 Sh'000	2003 Sh'000
Sales & other income	968,717	726,666	671,298	514,010	1,640,015	1,240,676
Expenditure	885,861	662,315	581,786	447,164	1,467,647	1,109,479
	=====	=====	=====	=====	=====	=====
Profit before taxation	82,856	64,351	89,512	66,846	172,368	131,197
Taxation	(26,750)	(20,153)	(28,900)	(13,938)	(55,650)	(34,091)
	=====	=====	=====	=====	=====	=====
Profit after taxation	56,106	44,198	60,612	52,908	116,718	97,106
	=====	=====	=====	=====	=====	=====
Assets	1,041,521	910,988	984,470	664,415	2,025,991	1,575,403
Liabilities	518,054	377,186	468,710	188,808	986,764	565,994
Depreciation and amortisation	34,647	34,648	50,957	27,635	85,604	62,283
Capital expenditure	165,181	-	181,340	59,728	346,521	59,728
	=====	=====	=====	=====	=====	=====

(b) Secondary segment information Geographical segments

The group's revenues are derived from sales in the following markets:

	2004	2003
	Sh'000	Sh'000
Kenya	1,153,718	893,616
Other	486,297	347,060
	=====	=====
	1,640,015	1,240,676
	=====	=====

NOTES TO THE FINANCIAL STATEMENTS *continued*

for the year ended 31 December 2004

	2004	2003
	Sh'000	Sh'000
6. TAXATION		
(a) Tax expense		
Current taxation based on adjusted profit at 30%	53,314	31,984
Deferred tax expense (note 19)	2,336	2,107
	<u>55,650</u>	<u>34,091</u>
(b) Reconciliation of tax based on accounting profit to tax expense		
Accounting profit before taxation	<u>172,368</u>	<u>131,197</u>
Tax at the applicable rate of 30%	51,710	39,359
Tax effect of expenses not deductible for tax purposes	3,940	2,321
Tax effect of income not taxable	-	(7,589)
	<u>55,650</u>	<u>34,091</u>

7. PROFIT ATTRIBUTABLE TO SHAREHOLDERS

The profit attributable to shareholders dealt with in the company financial statements of Achi River Mining Limited is Sh 117,794,000 (2003 – Sh 97,106,000 which includes Sh 25,298,000 profit on disposal of equity in subsidiary).

8. BASIC EARNINGS PER SHARE

Basic earnings per share has been calculated on the profit after taxation of Sh 15,998,000 (2003 – Sh 97,106,000) divided by the number of shares in issue during the year of 93,000,000 (2003 – 93,000,000). Diluted earnings per share is the same as the basic earnings per share. Without the profit on disposal of equity in subsidiary of Sh 25,298,000 the 2003 earnings per share would have been Sh 0.77.

NOTES TO THE FINANCIAL STATEMENTS *continued*

for the year ended 31 December 2004

9. (a) PROPERTY, PLANT AND EQUIPMENT - GROUP

	Freehold land and Buildings Sh'000	Buildings on leasehold land Sh'000	Heavy commercial vehicles and quarrying equipment Sh'000	Computer hardware plant, machinery, motor vehicles, furniture and fittings Sh'000	Capital work in progress Sh'000	Total Sh'000
Cost or valuation						
At 1 January 2004	69,978	161,590	159,899	805,795	300,155	1,497,417
Additions	6,382	19,131	36,704	26,133	253,102	341,452
Transfers	4,363	7,926	3,813	283,658	(299,760)	-
Disposals	-	-	-	(2,462)	-	(2,462)
Translation gain	-	-	-	-	5,069	5,069
At 31 December 2004	80,723	188,647	200,416	1,113,124	258,566	1,841,476
Comprising						
At cost	29,790	31,255	182,190	983,069	258,566	1,485,088
At valuation 1992	-	-	18,008	18,819	-	36,827
At valuation 1994	-	-	-	111,236	-	111,236
At valuation 1996	50,933	157,392	-	-	-	208,325
	80,723	188,647	200,416	1,113,124	258,566	1,841,476
Depreciation						
At 1 January 2004	8,379	27,911	94,263	293,375	-	423,928
Charge for the year	-	4,756	16,922	63,526	-	85,204
Eliminated on disposals	-	-	-	(937)	-	(937)
At 31 December 2004	8,379	32,667	111,285	355,964	-	508,195
Net book value						
At 31 December 2004	72,344	155,980	89,231	757,160	258,566	1,333,281
At 31 December 2003	61,599	133,679	65,636	512,420	300,155	1,073,489
Historical cost net book value						
At 31 December 2004	52,523	115,442	89,231	757,160	258,566	1,272,922
At 31 December 2003	41,778	90,667	65,636	512,420	300,155	1,010,656

Freehold land and buildings with a net book value of Shs 228,324,000 (2003 - Shs 195,278,000) have been charged to secure banking facilities to the group as disclosed in Note 18.

NOTES TO THE FINANCIAL STATEMENTS *continued*

for the year ended 31 December 2004

9. (b) PROPERTY, PLANT AND EQUIPMENT - COMPANY

	Freehold land and Buildings Sh'000	Buildings on leasehold land Sh'000	Heavy commercial vehicles and quarrying equipment Sh'000	Computer hardware plant, machinery, motor vehicles, furniture and fittings Sh'000	Capital work in progress Sh'000	Total Sh'000
Cost or valuation						
At 1 January 2004	69,978	161,590	159,899	805,795	70,514	1,267,776
Additions	6,382	-	36,704	6,279	241,694	291,059
Transfers	-	17,511	-	34,216	(51,727)	-
Disposals	-	-	(2,889)	(2,462)	-	(5,351)
At 31 December 2004	76,360	179,101	193,714	843,828	260,481	1,553,484
Comprising						
At cost	25,427	21,709	175,706	713,773	260,481	1,197,096
At valuation 1992	-	-	18,008	18,819	-	36,827
At valuation 1994	-	-	-	111,236	-	111,236
At valuation 1996	50,933	157,392	-	-	-	208,325
	76,360	179,101	193,714	843,828	260,481	1,553,484
Depreciation						
At 1 January 2004	8,379	27,911	94,263	293,375	-	423,928
Charge for the year	-	4,546	15,559	44,829	-	64,934
Eliminated on disposals	-	-	(2,563)	(937)	-	(3,500)
At 31 December 2004	8,379	32,457	107,259	337,267	-	485,362
Net book value						
At 31 December 2004	67,981	146,644	86,455	506,561	260,481	1,068,122
At 31 December 2003	61,599	133,679	65,636	512,420	70,514	843,848
Historical cost net book value						
At 31 December 2004	48,160	106,106	86,455	506,561	260,481	1,007,763
At 31 December 2003	41,778	90,667	65,636	512,420	70,514	781,015

Freehold land and buildings with a net book value of Shs 214,625,000 (2003 - Shs 195,278,000) have been charged to secure banking facilities granted to the company as disclosed in Note 18.

NOTES TO THE FINANCIAL STATEMENTS *continued*

for the year ended 31 December 2004

10. OPERATING LEASE PREPAYMENTS - GROUP & COMPANY

	Group	Company
	Sh'000	Sh'000
COST		
As at 1 January 2004	2,707	2,707
Additions	7,000	-
At 31 December 2004	9,707	2,707
AMORTISATION		
At 1 January 2004	291	291
Amortisation for the year	68	68
At 31 December 2004	359	359
NET BOOK VALUE		
At 31 December 2004	9,348	2,348
At 31 December 2003	2,416	2,416

11. DEFERRED EXPENDITURE - GROUP & COMPANY

As at 1 January 2004 and at 31 December 2004	13,019
Amortisation:	
At 1 January 2004	9,856
Charge for the year	3,163
At 31 December 2004	13,019
Net book value at 31 December 2004	-
Net book value at 31 December 2003	3,163

Development expenditure relates to costs incurred in developing new building products.

NOTES TO THE FINANCIAL STATEMENTS *continued*

for the year ended 31 December 2004

	2004 Sh'000	2003 Sh'000
12. INVESTMENT IN SUBSIDIARIES		
ARM (Tanzania) Limited – 67% owned	102,939	102,939
ARMSA (Pty) Limited – 100% owned	33,014	-
Mavuno Fertilizer Limited – 100% owned	7,259	-
	<u>143,212</u>	<u>102,939</u>

The investment in the subsidiaries is stated at cost less impairment losses where applicable.

	GROUP		COMPANY	
	2004 Sh'000	2003 Sh'000	2004 Sh'000	2003 Sh'000
13. INVENTORIES				
Raw materials	218,503	46,808	197,327	46,808
Work in progress	39,102	34,433	22,177	34,433
Finished goods	45,839	45,352	36,270	45,352
Stores, spares and laboratory	20,025	24,338	20,025	24,338
	<u>323,469</u>	<u>150,931</u>	<u>275,799</u>	<u>150,931</u>

The raw materials include Sh. 157million of fertilizer received in December 2004.

14. TRADE AND OTHER RECEIVABLES

Trade receivables	332,969	271,243	264,919	271,243
Other receivables and prepayments	15,252	25,204	14,182	25,204
	<u>348,221</u>	<u>296,447</u>	<u>279,101</u>	<u>296,447</u>

15. DUE FROM RELATED PARTIES - COMPANY

	2004 Sh'000	2003 Sh'000
ARM (Tanzania) Limited	33,972	-
ARM SA (Pty) Limited	23,009	-
	<u>56,981</u>	<u>-</u>

16. SHARE CAPITAL - GROUP AND COMPANY

Authorised: 94,000,000 ordinary shares of Sh 5 each	470,000	470,000
Issued and fully paid: 93,000,000 (2003 – 93,000,000) ordinary shares of Sh 5 each	<u>465,000</u>	<u>465,000</u>

NOTES TO THE FINANCIAL STATEMENTS *continued*

for the year ended 31 December 2004

	2004 Sh'000	2003 Sh'000
22. NOTES TO THE CASH FLOW STATEMENT (CONTINUED)		
(c) Loans		
At 1 January	185,644	77,500
Repayment	(50,935)	(103,267)
Received	85,394	211,411
Exchange adjustment	(332)	-
	<u>219,771</u>	<u>185,644</u>

23. RELATED PARTIES

Parties are considered to be related if one party has the ability to control the other party or exercise significant influence over the other party in making financial or operational decisions.

The following transactions were carried out with related parties:

Cement raw material (clinker) purchases during the year from Bamburi Cement Limited amounted to Sh 269,769,237 (2003 – Sh 26,256,054). The outstanding balance at year end due to Bamburi Cement Limited was Sh 47,414,671 (2003 – Sh 40,262,297). This balance is included under Trade and other payables. Bamburi Cement Limited is both a shareholder and a director of the company.

All transactions with related parties are at arm's length and in the normal course of business.

	2004 Sh'000	2003 Sh'000
24. CAPITAL COMMITMENTS		
Authorised and contracted for	<u>1,041,000</u>	<u>35,500</u>
Authorised but not contracted for	<u>51,000</u>	<u>37,100</u>
25. CONTINGENT LIABILITIES		
Guarantees	<u>48,270</u>	<u>30,527</u>

26. INCORPORATION

The company is a limited liability company registered in Kenya under the Companies Act.

27. CURRENCY

The financial statements are presented in Kenya Shillings thousands (Sh'000).

NOTES TO THE FINANCIAL STATEMENTS *continued*

for the year ended 31 December 2004

	2004 Sh'000	2003 Sh'000
17. MINORITY INTEREST		
At 1 January	50,702	-
Minority investment in the year	-	50,702
Share of profit for the year	720	-
Translation gain	1,617	-
	<u>53,039</u>	<u>50,702</u>

18. (a) BORROWINGS - GROUP

Bank overdrafts	140,094	14,205
Bank loans	219,771	185,644
Commercial paper	-	30,000
	<u>359,865</u>	<u>229,849</u>

The borrowings are repayable as follows:

On demand or within one year	201,460	84,006
In the second year	50,417	30,536
After 2 years	107,988	115,307

	<u>359,865</u>	<u>229,849</u>
Less: amounts due for settlement within one year	201,460	84,006

Amount due for settlement after one year	<u>158,405</u>	<u>145,843</u>
--	----------------	----------------

Analysis of borrowings by currency

	Borrowings in US\$	Kshs equivalent Sh'000	Borrowing in local currency Sh'000	Total Borrowing Sh'000
2004				
Bank overdrafts	-	-	140,094	140,094
Bank loans	1,414,375	109,423	110,348	219,771
At 31 December 2004	<u>1,414,375</u>	<u>109,423</u>	<u>250,442</u>	<u>359,865</u>
2003				
Bank overdrafts	-	-	14,205	14,205
Bank loans	1,510,000	114,811	70,833	185,644
Commercial paper	-	-	30,000	30,000
At 31 December 2003	<u>1,510,000</u>	<u>114,811</u>	<u>115,038</u>	<u>229,849</u>

NOTES TO THE FINANCIAL STATEMENTS *continued*

for the year ended 31 December 2004

18. (a) BORROWINGS - GROUP (Continued)

	2004 %	2003 %
The average interest rates paid were as follows:		
Bank overdrafts	8.94	8.03
Bank loans (Sh)	9.23	7.59
Bank loans (USD)	4.81	3.7
Commercial paper	-	3.5

Details of securities for loans and overdrafts

The general short term banking, letters of credit and foreign currency facilities with Stanbic Bank Kenya Limited are secured by first ranking debenture over all the company's assets for Sh 225,000,000.

The overdraft facility, commercial paper and Letter of credit with Bank of Africa Kenya Limited are secured by a pari passu debenture for Sh 120m over all the assets of the Company.

The overdraft and loan facilities with Barclays Bank of Kenya Limited are secured by a legal charge over certain properties and a debenture of Sh 264m over all the assets of the Group.

The long term loan of USD 1,000,000 is secured by a first ranking legal mortgage on the company's (ARM (Tanzania) Limited) assets located on plot No. 1 Industrial Area - Maweni Tanga Municipality and a first ranking floating debenture on the company's assets present and future.

18. (b) BORROWINGS - COMPANY

	2004 Sh'000	2003 Sh'000
Bank overdrafts	133,536	14,205
Bank loans	142,397	109,644
Commercial paper	-	30,000
	<u>275,933</u>	<u>153,849</u>

The borrowings are repayable as follows:

On demand or within one year	194,902	84,006
In the second year	50,417	30,536
After 2 years	30,614	39,307
	<u>275,933</u>	<u>153,849</u>
Less: amounts due for settlement within one year	<u>194,902</u>	<u>84,006</u>
Amount due for settlement after one year	<u>81,031</u>	<u>69,843</u>

NOTES TO THE FINANCIAL STATEMENTS *continued*

for the year ended 31 December 2004

18. (b) BORROWINGS - COMPANY (Continued)

Analysis of borrowing by currency

	Borrowings in US\$	Kshs equivalent Sh'000	Borrowing in local currency Sh'000	Total Borrowing Sh'000
2004				
Bank overdrafts	-	-	133,536	133,536
Bank loans	414,375	32,049	110,348	142,397
	<u>414,375</u>	<u>32,049</u>	<u>243,884</u>	<u>275,933</u>
At 31 December 2004	<u>414,375</u>	<u>32,049</u>	<u>243,884</u>	<u>275,933</u>
2003				
Bank overdrafts	-	-	14,205	14,205
Bank loans	510,000	38,811	70,833	109,644
Commercial paper	-	-	30,000	30,000
	<u>510,000</u>	<u>38,811</u>	<u>115,038</u>	<u>153,849</u>
At 31 December 2003	<u>510,000</u>	<u>38,811</u>	<u>115,038</u>	<u>153,849</u>

The average interest rates paid were as follows:

	2004 %	2003 %
Bank overdrafts	8.94	8.03
Bank loans (Sh)	8.23	7.59
Bank loans (USD)	4.12	3.7
Commercial paper	Nil	3.5

Details of securities for loans and overdrafts

The general short term banking, letters of credit and foreign currency facilities with Stanbic Bank Kenya Limited are secured by a first ranking debenture over all the company's assets for Sh 225,000,000.

The overdraft facility, commercial paper and Letters of credit with Bank of Africa Kenya Limited are secured by a pari passu debenture for Sh 120m over all the assets of the company.

The overdraft and loan facilities with Barclays Bank of Kenya Limited are secured by a legal charge over certain properties and a debenture of Sh 264m over all the assets of the Group.

NOTES TO THE FINANCIAL STATEMENTS *continued*

for the year ended 31 December 2004

19. DEFERRED INCOME TAXES

Deferred income taxes are calculated on all temporary differences under the liability method using the enacted tax rate of 30%.

	GROUP		COMPANY	
	2004 Sh'000	2003 Sh'000	2004 Sh'000	2003 Sh'000
The net deferred taxation liability is attributable to the following items:				
Accelerated capital allowances	212,335	139,606	142,401	139,606
Revaluation surplus	18,107	18,850	18,107	18,850
Leave pay provision	(429)	(417)	(429)	(417)
Unrealised gain	315	-	-	-
Accumulated losses	(69,953)	-	-	-
	<u>160,375</u>	<u>158,039</u>	<u>160,079</u>	<u>158,039</u>
The movement on the deferred tax account is as follows:				
At 1 January	158,039	155,932	158,039	155,932
Income statement charge – note 6(a)	2,336	2,107	2,040	2,107
At 31 December	<u>160,375</u>	<u>158,039</u>	<u>160,079</u>	<u>158,039</u>

20. FINANCE LEASES

Secured finance leases expiring:

Within one year	5,785	2,317	5,785	2,317
Within two years	9,329	2,522	6,219	2,522
Within three years	2,851	2,758	2,851	2,758
Within four years	1,187	553	1,187	553
	<u>19,152</u>	<u>8,150</u>	<u>16,042</u>	<u>8,150</u>
Less: Amount repayable within one year	5,785	2,317	5,785	2,317
	<u>13,367</u>	<u>5,833</u>	<u>10,257</u>	<u>5,833</u>

NOTES TO THE FINANCIAL STATEMENTS *continued*

for the year ended 31 December 2004

	GROUP		COMPANY	
	2004 Sh'000	2003 Sh'000	2004 Sh'000	2003 Sh'000
21. TRADE AND OTHER PAYABLES				
Trade payables	411,957	175,128	364,875	175,128
Other payables and accruals	9,076	23,739	8,745	23,739
Leave pay provision	1,431	1,390	1,431	1,390
Directors' accounts	423	986	423	986
	<u>422,887</u>	<u>201,243</u>	<u>375,474</u>	<u>201,243</u>

22. NOTES TO THE CASH FLOW STATEMENT

(a) Reconciliation of operating profit to cash generated from operations:

	2004 Sh'000	2003 Sh'000
Operating profit	186,542	117,517
Adjustments:		
Depreciation	85,204	62,223
Amortisation	68	68
Loss on disposal of motor vehicles	235	-
Write off of motor vehicle	-	84
Realised exchange gains	1,743	17
Amortisation of deferred expenditure	3,163	4,928
Operating profit before working capital changes	<u>276,955</u>	<u>184,837</u>
(Increase)/decrease in inventories	(172,585)	85,676
Increase in trade and other receivables	(51,846)	(43,334)
(Increase)/decrease in trade and other payables	<u>221,593</u>	<u>(79,436)</u>
Cash generated from operations	<u>274,117</u>	<u>148,012</u>

(b) Analysis of balances of cash and cash equivalents

Cash and bank balances	11,672	48,957
Commercial paper	-	(30,000)
Bank overdrafts	(140,094)	(14,205)
At 31 December	<u>(128,422)</u>	<u>4,752</u>

For the purpose of the cash flow statement, cash equivalents include short term liquid investments which are readily convertible to known amounts of cash and which were within three months to maturity when acquired, less advances from banks repayable within three months from the date of advance.

ARM Products and Industries Served

	Limestone	Dolomite	Magnetite	Gypsum	Kaolin	Feldspar	Barytes	Bentonite	Quartz	Quick & Hydrated Lime	Sodium Silicate	Mayan Fertilizer	Rhino Cement	Walmaster	Sculptmaster
A Agriculture and Food															
Animal Feeds	✓	✓	✓	✓				✓							
Pesticides	✓				✓					✓					
Edible Oil	✓														
Soil Fertility	✓	✓	✓	✓						✓		✓			
Sugar										✓					
Pharmaceuticals	✓		✓							✓					
Brewing				✓						✓					
Fruit & Vegetable Preserve										✓					
B Manufacturing and Mining															
Steel Casting & Foundry	✓		✓					✓	✓		✓				
Soaps & detergents	✓				✓										
Paints & Coatings	✓	✓			✓		✓								
Window Putty & Sealants	✓				✓	✓									
Rubber Products & Footwear	✓				✓							✓			
Glass	✓	✓		✓		✓			✓						
Foam Products & Mattress	✓									✓					
Roofing Felts & Acid Proofing Coating	✓					✓			✓						
Abrasives						✓			✓						
Scouring Powders & Paste	✓				✓				✓						
Ceramic Tiles	✓			✓	✓				✓						
Cosmetics															
Adhesives & Glue	✓							✓							
PVC Pipes, Tiles & Rasin	✓														
Textile Printing												✓			
Paper & Carton Manufacturing	✓				✓							✓			
Printing Inks	✓														
Waxes & Polishes	✓														
Welding Rods						✓						✓			
Leather Tanning										✓		✓			
Ferro-Chrome Processing										✓		✓			
Gold Processing	✓									✓		✓			
Copper Processing	✓									✓		✓			
Other Mineral Beneficiation										✓		✓			
Refractory			✓									✓			
C Construction and Roads															
Crack and Grout Fillers	✓														
Soil Stabilization										✓					
Dam Lining (Civil Engineering)								✓							
Bore Hole Drilling								✓							
Decorative Plasters														✓	✓
Road Foundation & Asphalt Surfacing	✓								✓	✓			✓	✓	✓
Mortars & Concrete					✓					✓			✓	✓	✓
Terrazzo Flooring										✓					
White Washing & Disinfecting										✓					
Cement Water Proofing															✓
D Environment and Miscellaneous															
Drinking Water Treatment										✓	✓				
Sewage & Effluent Treatment										✓	✓				
Stock Gases Treatment										✓		✓			
Oil Well Drilling								✓							

SHAREHOLDERS INFORMATION

for the year ended 31 December 2004

The distribution of shareholders as at 31 December 2004 was as follows:

Share Range	Number of Shareholders	Shares Held	% Held
1 to 499	595	142,559	0.15
500 to 5,000	4161	6,862,183	7.38
501 to 10,000	337	2,563,112	2.76
10,001 to 100,000	314	9,097,907	9.78
100,001 to 1,000,000	39	9,714,461	10.45
1,000,001 and Above	47	64,619,778	69.48
	5,493	93,000,000	100.00

The Top ten Shareholders as at 31st December 2004 were,

	Shares held	% Held
Pradeep Harjivandas Paunrana	44,483,049	47.83
Bamburi Cement Ltd	13,968,300	15.02
Orthodox Archbishopric Kenya and Irinoupolis	1,852,200	1.99
Alan Pickering	1,200,000	1.30
Wilfred Murungi	1,058,400	1.14
Anjana Pradeep Paunrana	1,056,049	1.13
Insurance Company of East Africa Pooled FD	1,001,780	1.08
National Social Security Fund Board of trustees	870,000	0.93
Heritage All Insurance Company Limited	809,150	0.87
Barnard Nominees	700,000	0.75
Others	26,001,072	27.96
	93,000,000	100.00